

FEDERAL MARITIME COMMISSION

In re: Vehicle
Carrier Services

Docket Nos. 16-01, 16-07,
16-10, and 16-11

Served: August 30, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*, and Rebecca F. DYE, *Commissioner*.

ORDER GRANTING MOTION FOR LEAVE TO FILE AMICUS BRIEF

Professors Michael Sant'Ambrogio and Adam Zimmerman (Amici or Professors) move for leave to file an amicus brief pursuant to 46 C.F.R. § 502.73 on the Commission's authority to aggregate claims and adjudicate a class action. Respondents oppose the motion as untimely and argue that the Amici have failed to identify the requisite interest in these proceedings or otherwise comply with § 502.73.

The Commission grants leave to file the amicus brief submitted with the Professors' motion. The amicus motion identifies the Amici's interest in filing and meets the Commission's criteria for amicus filings spelled out in Commission Rule 73. Further, the Amici are uniquely situated to offer a broader perspective on federal

agencies' authority to adjudicate class actions. Respondents offer no sound justification for denying leave to file. While Respondents correctly argue that the motion was untimely, it was filed only one day past the August 7 deadline and the delay was minimal. Moreover, to remove any potential prejudice due to the late-filed brief, the Commission grants Respondents 7 days from the date of this order to file a short response limited to the issues addressed in the amicus brief.

I. BACKGROUND

A. Factual Background

In each of these consolidated cases, Complaints allege that Respondents violated the Shipping Act of 1984 by conspiring to fix, raise, maintain and/or stabilize prices, and by rigging bids to allocate the market and customers for shipping new, assembled vehicles to and from the United States. They assert these claims on behalf of themselves and others similarly situated and seek to pursue reparation claims as a class action. Respondents are vessel-operating ocean common carriers engaged in transporting new, assembled motor vehicles using specialized roll-on/roll-off (RoRo) cargo ships.

Complainants claim that since at least 1997, Respondents have secretly and unlawfully engaged in unlawful anticompetitive practices calculated to artificially inflate shipping charges, manipulate shipping capacity, and restrict service by reducing their vessel fleets and improperly allocating the market for shipping vehicles. Complainants seek reparations for inflated shipping costs allegedly passed along to them indirectly when they arranged transportation service or purchased vehicles transported by Respondents to or from the United States. According to Complainants, although Respondents have been secretly engaged in these activities for over a decade, they had no knowledge of Respondents' illegal activities until May 2013 at the earliest.

In 2013, Complainants brought civil actions against Respondents in the United States District Court for the District of New Jersey and alleged violations of state and federal antitrust and consumer protection laws. *In re Vehicle Carrier Servs. Antitrust Litig.*, Master Docket No. 13-cv-3306 (ES) (JAD) (MDL No. 2471). In August 2015, the court dismissed Complainants' claims. *In re Vehicle Carrier Servs. Antitrust Litig.*, No. 13-3306, 2015 U.S. Dist. LEXIS 114691 (D.N.J. Aug. 28, 2015). The Third Circuit subsequently affirmed the district court. *In re Vehicle Carrier Servs. Antitrust Litig.*, 846 F.3d 71 (3d Cir. 2017).

B. Procedural History

While the district court litigation was pending, Complainants filed Shipping Act complaints with the Commission. Five separate cases are consolidated under the caption "In re Vehicle Carrier Services," Docket Nos. 16-01, 16-07, 16-10 16-11 and 17-09. The claims asserted in No. 17-09, *Fiat Chrysler Automobiles NV. v. Wallenius Wilhelmsen Logistics AS*, remain before the Administrative Law Judge (ALJ) for disposition on the merits.

Respondents filed motions to dismiss all five cases. Respondents' Consolidated Mot. to Dismiss, Apr. 26, 2017; Respondents' Supplemental Mot. to Dismiss, Nov. 30, 2017. They argued that the Commission does not have authority to adjudicate class actions and moved to dismiss the reparations claims as time-barred and for lack of standing. Complainants responded by arguing that the Commission has broad authority under its enabling statute to adjudicate class actions. Consolidated Response of Complainants to Respondents' Consolidated Mot. to Dismiss, May 25, 2017; Complainants' Brief in Opp'n. to Respondents' Supplemental Consolidated Mot. to Dismiss, Jan. 11, 2018. Complainants also defended the timeliness of their reparations claims and argued that Respondents' illicit activities tolled the statute of limitations and asserted that their status as indirect purchasers of vehicle transportation services confers standing. *Id.*

In the Initial Decision dated May 7, 2017, the ALJ dismissed the reparations claims asserted by Complainants in 16-01, 16-07, 16-10 and 16-11 as time-barred and for lack of standing. The ALJ denied the motion to dismiss the reparations claims asserted by Fiat in No. 17-09 and determined that Fiat adequately alleged it was a direct purchaser for standing purposes. In ruling on Respondents' consolidated motions, the ALJ also denied Respondents' motion to dismiss claims seeking a cease and desist order in No. 16-01 (asserted by the named parties) and in 17-09. Finally, the ALJ denied without prejudice Respondents' arguments attacking the sufficiency of service and the complaint for allegedly failing to state a claim under the Shipping Act.

The ALJ also provisionally ruled on Complainants' class action complaint. While acknowledging that the claims were subject to dismissal on other grounds, the ALJ also addressed the Commission's authority to hear class action claims and determined that it does not have that authority. I.D. at 18-26. Complainants in 16-01, 16-07, 16-10, and 16-11 filed timely exceptions challenging the ALJ's dismissal of the reparations claims and the ruling on a putative class action. On August 8, 2018, the Amici moved for leave to file the amicus brief submitted with their motion. They address the Commission's authority to hear class actions but take no position on whether the Commission should allow Complainants to pursue reparations claims as a class action. Complainants do not oppose the amicus motion. Respondents opposed the amicus motion on August 14, 2018. On August 21, 2018, Respondents filed their opposition to Complainants' exceptions. Respondents' Consolidated Reply to Complainants' Appeal from the Initial Decision Granting in Part and Denying in Part Respondents' Mot. to Dismiss, Aug. 21, 2018.

II. DISCUSSION

A. Timeliness Issues

Respondents challenge the amicus motion as untimely under 46 C.F.R. § 502.73 which states that motions for leave to file an amicus brief are due within 7 days of the Commission's receipt of the initial brief from the first filing party. Under the Rule, the Amici's motion was due August 7, 2018, but was docketed one day late. The Commission can extend the 7-day filing deadline "for cause shown." § 502.73(c). While the Amici did not offer a justification for their delay in filing, the delay was minimal and did not prejudice Respondents' ability to respond to the arguments asserted in the amicus motion. *See* Opp'n., 3-7. Respondents promptly filed an opposition brief challenging the Professors' qualifications and compliance with § 502.73. *See id.*

Because the Amici's delay was minimal and not materially prejudicial, the Commission grants a one-day extension *nunc pro tunc* and deems the amicus motion timely filed.

B. Amicus Motion to Brief Class Action Issues

Leave from the Commission or the presiding ALJ is required for any amicus filing unless the filer is the United States or a federal agency. 46 C.F.R. § 502.73(a). "A motion for leave to file an amicus brief must identify the interest of the applicant and must state the reasons why such a brief is desirable." § 502.73(b). Amicus briefs are restricted to addressing "questions of law or policy." § 502.73(a). The Commission has broad discretion in deciding whether to grant leave for an amicus brief. *See Cobell v. Norton*, 246 F. Supp. 2d 59, 62 (D.D.C. 2003) (control over amicus filings is committed to the court's "sole discretion").

Respondents argue that the Amici have failed to identify the requisite reasonable interest in these proceedings. Opp'n., 3-4. They advocate applying a narrowly circumscribed litmus test that essentially restricts qualifying interests for amicus status to regulated entities whose operations or personal or tangible interests will be affected by the Commission's ruling on class action issues. *Id.* Respondents rely on the discussion in *Ryan v. CFTC*, 125 F.3d

1062, 1063 (7th Cir. 1997) as support for their interpretation of the qualifying interest required by § 502.73(b).

The interests that qualify for amicus status are not as narrowly defined, however, as Respondents assert. In fact, in describing scenarios that “normally” qualify for amicus status, the *Ryan* court included the broader category of situations in which “the amicus has unique information or perspective that can help the court beyond the help that the lawyers for the parties are able to provide.” *Ryan*, 125 F.3d at 1063.

Here, the Amici are clearly in a position to offer a unique perspective on agency class actions and claims aggregation procedures and provide insights beyond what the parties are likely to address in their advocacy briefs. As the authors of several published articles on the topic, the Amici have the benefit of extensive scholarly research and their in-depth study of agencies’ varying approaches and combined experience in handling aggregated claims. See Mot., 1-2; see also <https://www.acus.gov/sites/default/files/documents/aggregate-agency-adjudication-final-report.pdf>. Finally, while Respondents criticize the Amici’s neutrality on whether the Commission should certify a class of Complainants as evidencing their lack of interest (see Opp’n.5-6.), that is not the case. The amicus brief properly limits its advocacy to questions of law and policy and does not delve into factual questions or advocate for or against certifying a class in this particular case. See 46 C.F.R. § 502.73(a).

Respondents further argue that the Amici have failed to show why filing the amicus brief is “desirable,” but that is not the case. See Opp’n., 4-6. The Amici’s extensive experience and informed perspective will be particularly helpful in this case. Whether Complainants can recover reparations for non-parties through a class action is an issue the Commission has not previously addressed directly.

Finally, Respondents argue that the amicus brief is unnecessarily duplicative because the parties are adequately represented and will fully address the issues raised in Complainants' exceptions in their briefs. Opp'n., 6-7. The Amici are not required to show that the parties' current representation is inadequate. That is just one scenario that justifies granting leave to file an amicus brief. *See Ryan*, 125 F.3d at 1063. Further, as discussed above, because of their academic background, the Amici offer a broader perspective on federal agencies' authority to aggregate claims.

The Commission grants leave to file the amicus brief attached to the motion.

III. CONCLUSION

THEREFORE, IT IS ORDERED:

- (1) The Commission grants the Amici a one-day extension nunc pro tunc and deems the amicus motion timely filed;
- (2) The Commission grants the motion for leave to file an amicus brief;
- (3) The Commission directs the Secretary to docket the amicus brief as a separate filing on Docket Nos. 16-01, 16-07, 16-10 and 16-11; and
- (4) The Commission grants Respondents 7 days from the date of this order to file a response to the amicus brief that is no longer than 10 pages and addresses only the issues argued in the amicus brief.

By the Commission.

Rachel E. Dickon
Secretary